2026 DECISION REPORT

Oil & Gas Tax Strategies

What can reduce or defer federal tax, what survives California law, and what must be true before a drilling investment belongs in a tax plan.

PREPARED FOR
Jimmy & Mandy
California residents

PLANNING HORIZON
2026 tax year
Research current to October 10, 2026

Scope. Federal and California individual income-tax treatment of working interests, drilling costs, depletion, equipment, royalties, and adjacent structures.

BOTTOM LINE

The useful federal benefit is narrow—and California sharply reduces it

For a W-2 household, the central strategy is a bona fide working interest held directly or through an entity that does not limit liability. That structure can make drilling losses nonpassive even without material participation. Limited-liability structures generally lose that exception.

California changes the economics. For oil and gas wells, California disallows immediate IDC expensing and percentage depletion for post-2023 costs/years, and it does not conform to federal bonus depreciation. A federal illustration can therefore materially overstate the household's current-year state tax reduction.[10–11]

§469
FEDERAL LINCHPIN
Working-interest exception to passive activity treatment.[1]

60 mo.
AMT PRESSURE VALVE
Optional IDC amortization under §59(e).[3]

0%
CA PERCENTAGE DEPLETION
Disallowed for specified oil/gas resources beginning in 2024.[11]

Strategy scorecard

STRUCTURE	CAN CURRENT LOSS OFFSET W-2?	MAIN BENEFIT	PRIMARY CATCH
Direct / GP working interest	Potentially yes	IDC + equipment deductions; nonpassive exception	Real economic and unlimited liability; four loss filters
LLC / LP / S-corp interest	Usually no	Liability protection; pass-through reporting	Liability limitation generally defeats special exception
Royalty / mineral interest	Not a loss engine	Depletion against production income	No IDC deduction; CA percentage depletion disallowed
Public royalty trust / energy fund	No	Liquid income exposure	Does not replicate direct working-interest treatment
Self-directed IRA	No	Account-level deferral	Benefits stay in IRA; UBTI/debt/prohibited-transaction risk

Recommendation: Treat tax savings as downside cushioning—not expected return. Advance only an investment that clears independent geological, operator, legal, and cash-flow underwriting before tax.

THE DECISIVE OWNERSHIP RULE

A qualifying working interest can offset W-2 income without material participation

IRS Publication 925 treats a working interest in an oil or gas well as nonpassive when it is held directly or through an entity that does not limit the investor's liability. Material participation is not required.[1]

Likely inside the exception

- ✓ Direct ownership named in the well or operating agreement
- ✓ A general-partner interest with real exposure to liabilities
- ✓ A year-end K-1 and agreement that match the claimed structure

Likely outside the exception

- Limited partnership interest
- LLC or LLP interest limiting owner liability
- S corporation shares
- Royalty trust, ETF, stock, or fund exposure

Do not manufacture unlimited liability for a deduction. The tax advantage exists because the structure can expose the owner to operating, environmental, plugging, and other obligations. Insurance and contractual indemnities require specialist review and may affect the at-risk analysis.

How Mandy fits

Mandy's availability does not create the special exception—the ownership structure does. Her most useful role is operational diligence: maintain the document room, verify invoices and AFEs, monitor operator reports and cash calls, and create a contemporaneous record. If she performs services, the partnership and payroll/self-employment consequences should be designed rather than improvised.

Structure test before signing

1. **Trace title and liability.**
   Identify the exact owner on leases, assignments, partnership agreements, and state filings. Obtain a written tax opinion on §469(c)(3).
2. **Separate tax basis from amount at risk.**
   A K-1 capital account is not enough. Determine outside basis, recourse allocations, guarantees, and loss-protection arrangements.
3. **Confirm the activity is drilled or operated under the working interest.**
   A marketing label is not controlling. The executed agreements and actual economics are.
4. **Model ongoing consequences.**
   Include cash calls, self-employment tax, state-source filings, depletion, basis reduction, and exit recapture.

COST CLASSIFICATION DRIVES TIMING

IDCs create the headline deduction; eligible equipment may add 100% bonus depreciation

Qualifying intangible drilling and development costs—labor, fuel, supplies, hauling and similar well-preparation costs—may be expensed federally when the proper election is in place. Tangible equipment is capitalized and recovered separately.

COST BUCKET	EXAMPLES	FEDERAL 2026 TREATMENT	CALIFORNIA DIRECTION
IDC	Drilling labor, mud, fuel, hauling, site preparation	Potential current deduction under §263(c); optional 60-month §59(e) amortization	No immediate §263(c) deduction for post-2023 oil/gas costs
Tangible well equipment	Casing, tubing, pumps, tanks, production equipment	Depreciation; qualifying property acquired after Jan. 19, 2025 may receive 100% bonus[4–5]	No conformity to federal bonus depreciation
Lease/mineral acquisition	Lease bonus, acreage or mineral-right cost	Capitalized; recovered through depletion or disposition	Separate California basis required
Operating expense	Utilities, repairs, severance tax, administration	Potential current deduction when ordinary and necessary	Generally analyzed under California rules

Illustrative $100,000 allocation—not a forecast

$70K
HYPOTHETICAL IDC
Potential federal current deduction if properly classified and elected.

$30K
HYPOTHETICAL TANGIBLE
Potential federal bonus depreciation if qualified and placed in service.

$35K
ILLUSTRATIVE FEDERAL REDUCTION
At a 35% marginal rate if all $100K survives every limitation. This is not a return.

Timing is earned, not purchased. Funding an offering by December 31 does not alone secure a 2026 deduction. The partnership's accounting, economic performance, drilling activity, placed-in-service date, elections, and final cost allocation all matter.

Dry holes. A failed well can produce deductible IDC under federal rules, but economic loss is still real. The operator should provide an AFE, invoices, spud/completion records, and a defensible IDC/tangible allocation. IRS natural-resource guidance points working-interest owners to the AFE for operating costs.[6]

DEDUCTIBILITY IS A SEQUENCE

Four filters determine what reaches the 2026 return

"Nonpassive" is necessary, not sufficient. A current drilling loss must clear basis, at-risk, passive-activity, and excess-business-loss rules—in that order—before it offsets wages.

1 Tax basis

Losses cannot exceed adjusted outside basis. Cash, contributed property, allocated liabilities, distributions, income, deductions, and depletion all move the number.

2 At-risk amount — Form 6198

Cash and genuinely recourse borrowing generally count. Nonrecourse debt, related-party financing, guarantees without real economic exposure, and stop-loss protection generally do not.[2]

3 Passive-activity classification

The special working-interest exception applies only to direct or non-liability-limiting ownership. If it fails, losses are generally suspended against future passive income or a qualifying disposition.[1]

4 Excess business loss — Form 461

For 2026, net business losses usable by noncorporate taxpayers are capped at $256,000 single / $512,000 married filing jointly. W-2 wages do not count as business income for this calculation. Excess becomes an NOL carryforward. OBBBA made the limitation permanent.[7]

AMT can claw back IDC timing

IDCs are an AMT preference to the extent "excess IDCs" exceed 65% of net well income. Electing §59(e) amortization over 60 months avoids this particular adjustment. Model regular tax and AMT together.[3]

NOLs defer, not erase, tax

Most post-2017 NOLs carry forward rather than back and generally offset no more than 80% of taxable income in a future year. A deduction blocked in 2026 may therefore have lower present value.[8]

Planning implication: Size the investment to the smaller of (a) amount that passes underwriting, (b) cash truly at risk, and (c) loss capacity actually usable in 2026. Do not size it to the tax bill.

2026 context: the MFJ standard deduction is $32,200; the 35% bracket begins above $512,450 of taxable income and 37% above $768,700. AMT exemption is $140,200 MFJ, phasing out at $1 million.[9] These figures frame modeling but do not establish personal tax savings.

PRODUCTION CHANGES THE TOOLKIT

Percentage depletion can outlive tax basis—but California disallows it

A qualifying independent producer or royalty owner generally compares cost depletion with percentage depletion. Federal percentage depletion can continue after basis reaches zero, making it a potentially durable production-year deduction.[6]

15%
FEDERAL RATE
Generally applied to gross income from qualifying oil/gas property.[14]

100%
PROPERTY CAP
Generally limited to net taxable income from the property.[14]

65%
OVERALL CAP
Limited against total taxable income, with carryforward mechanics.[14]

The independent-producer allowance is also limited by a 1,000-barrel-per-day equivalent production ceiling and has retailer/refiner restrictions. Property-by-property computations and marginal-well rules require specialist work.

What each adjacent structure actually does

STRATEGY	USEFUL FOR	WHY IT DOES NOT REPLACE A QUALIFYING WORKING INTEREST
Royalty / mineral interest	Production income with no operating cash calls; federal depletion may reduce taxable royalty income	No owner IDC deduction and generally no active loss to shelter W-2 wages
Public royalty trust	Liquid, diversified production distributions	Security ownership does not become direct unlimited-liability well ownership
Mineral-right §1031 exchange	Potential gain deferral when the exchanged interests are real property under controlling law	Narrow, state-law dependent, timing-sensitive; partnership interests do not qualify
Self-directed IRA	Tax-deferred or tax-free account compounding, if properly administered	IDC/depletion stay inside the account; no personal W-2 offset; UBTI and prohibited-transaction risk
EOR / carbon projects	§43 or §45Q credits at the project/operator level	Credits require technically qualified activity and allocation; not a generic investor deduction

California ledger: California eliminated percentage depletion for specified resources including oil and gas for taxable years beginning on or after January 1, 2024. Only cost depletion may remain, subject to state rules.[11]

FEDERAL AND STATE BOOKS DIVERGE

California requires a separate basis and deduction ledger

The household may receive a large federal K-1 loss while reporting a much smaller California deduction. That difference is not an error; it is the consequence of explicit state nonconformity.

ITEM	FEDERAL	CALIFORNIA FOR 2026 PLANNING	ACTION
IDC expensing	Potential current §263(c) deduction	Disallowed for oil/gas IDCs paid or incurred on/after Jan. 1, 2024	Obtain federal-to-CA adjustment and state recovery schedule
Percentage depletion	15% subject to limits	Disallowed for specified resources including oil/gas beginning in 2024	Maintain cost-depletion basis and reserve data
Bonus depreciation	100% for eligible qualified property acquired after Jan. 19, 2025	California does not conform to §168(k)	Maintain separate asset-by-asset depreciation
NOL use	Indefinite carryforward; generally 80% limitation	California NOL deductions suspended for 2024–2026 when modified AGI or net business income is at least $1 million; losses continue to be computed and carried	Model state carryover and later-year value

Why the federal illustration does not translate

Federal book

Hypothetical $100K cash: $70K IDC + $30K qualifying tangible property. If every limitation is cleared, first-year deductions could approach $100K.

≈ $100K

POTENTIAL TIMING DEDUCTION

California book

No immediate IDC expensing and no federal bonus conformity. Current deduction depends on California amortization/depreciation and operating results.

Far less

CURRENT-YEAR DEDUCTION

Practical result: California tax can remain due even when the federal estimate looks close to zero. Reserve cash for state tax and for future capital calls. Do not use the federal K-1 alone to prepare the California return.

State compliance file

- ✓ Federal and California basis rollforwards
- ✓ IDC/tangible/leasehold allocation
- ✓ Asset placed-in-service dates
- ✓ Cost-depletion reserve records
- ✓ California-source income by property
- ✓ FTB Schedule CA adjustments
- ✓ State depreciation workpapers
- ✓ NOL computation and suspension tracking

FTB's 2024 Form 3885L and Form 3510 instructions are the clearest current state summaries located for these post-2023 changes.[10–11] Confirm final 2026 California forms and instructions when released.

CLOSE THE EVIDENCE GAP BEFORE YEAR-END

The best 2026 plan is staged, documented, and closed before year-end

OCTOBER
Set the loss budget
- Run regular tax + AMT + California model
- Estimate §461(l) headroom
- Decide cash-at-risk ceiling

NOVEMBER
Underwrite the asset
- Independent geology and reserves review
- Operator background, litigation and liens
- Legal review of title and liability

DECEMBER
Verify tax timing
- Execute assignments and fund
- Confirm actual drilling / service dates
- Collect AFE and cost support

Pre-close tax memo: require answers in writing

QUESTION	EVIDENCE	OWNER
Does the exact entity preserve §469(c)(3)?	Executed agreement, liability opinion, ownership chart	Tax counsel
How much cash and debt are genuinely at risk?	Debt documents, guarantees, insurance, capital ledger	CPA + counsel
What 2026 costs are IDC, tangible, or leasehold?	AFE, vendor invoices, engineering allocation	Operator + CPA
Will equipment be placed in service in 2026?	Completion and production records	Operator
Should any IDC use the §59(e) election?	Regular-tax and AMT side-by-side model	CPA
What differs for California?	State adjustment, depreciation, basis and NOL schedules	California CPA

Mandy's operating cadence
- ✓ Weekly document-room check
- ✓ Monthly production/cash-call reconciliation
- ✓ Quarterly tax-estimate update
- ✓ Contemporaneous decision log

Expected tax package
- ✓ Schedule K-1 and footnotes
- ✓ Form 6198 inputs
- ✓ IDC election statement / §59(e), if used
- ✓ Depletion and §1254 recapture schedules

Estimated tax. Production and royalty payments often arrive without withholding. Update federal and California safe-harbor payments when 2026 K-1 and royalty estimates change.[6]

UNDERWRITE ECONOMICS BEFORE DEDUCTIONS

Tax structure cannot compensate for reservoir, operator, or fraud risk

Direct working interests are illiquid, capital-call-prone operating investments. The same unlimited-liability feature that can unlock the passive-loss exception also amplifies downside.

Asset diligence

- ✓ Independent reserve report and engineering sensitivities
- ✓ Title opinion, lease term, depth rights and burdens
- ✓ WI/NRI reconciliation, royalty stack, and payout definitions
- ✓ Oil/gas price, decline curve, basis differential and transport assumptions
- ✓ Plugging, abandonment, remediation and insurance budget

Operator diligence

- ✓ State operator status, bonding and compliance history
- ✓ Track record by well—not pooled marketing averages
- ✓ Related-party vendors, overhead, promotion and commissions
- ✓ Litigation, liens, bankruptcies and disciplinary history
- ✓ Audited use-of-proceeds and segregated project accounts

SEC-pattern red flags

- Cold calls and high-pressure deadlines
- “Guaranteed” production or return
- Geology that cannot be independently verified
- Large undisclosed commissions or vague use of funds
- Promoters whose registrations and identities do not check out

SEC enforcement has repeatedly alleged these patterns in working-interest offerings.[12–13]

Economic sensitivity

Require a model at −25% commodity price, slower initial production, steeper decline, +20% drilling cost, and a dry hole. If the deal works only because of the deduction, it does not work.

The exit bill is part of the entry decision

ISSUE	WHAT CAN HAPPEN	RESERVE / DOCUMENT
§1254 recapture	Gain on disposition may be ordinary income up to prior IDC and depletion subject to recapture	Property-level IDC, depletion, basis and gain schedule
Self-employment tax	General-partner / active working-interest income may be subject to SE tax	Model income character and depletion interaction
Negative capital / debt shift	Distributions or liability reductions can create gain	Quarterly outside-basis and liability rollforward
Environmental tail	Plugging and cleanup costs can survive poor production	Bonding, insurance, indemnity and solvency review

Walk-away rule: Decline any offering that will not provide executed agreements, title and liability analysis, an independent technical report, itemized use of proceeds, promoter compensation, and auditable tax reporting commitments.

PRIMARY AUTHORITIES AND NEXT MEETING

Use the report to frame a pre-close CPA and counsel review

Source notes

[1] IRS Publication 925 (2025), Passive Activity and At-Risk Rules

[2] IRS Instructions for Form 6198 (2025), At-Risk Limitations

[3] IRS Instructions for Form 6251 (2025), IDC AMT adjustment

[4] IRS, Notice 2026-11 summary on permanent 100% bonus depreciation

[5] IRS Publication 946 (2025), How To Depreciate Property

[6] IRS, Tips on Reporting Natural Resource Income

[7] IRS, Excess Business Losses

[8] IRS, Excess Business and Net Operating Loss guidance

[9] IRS, 2026 individual tax inflation amounts

[10] California FTB Form 3885L instructions (2024)

[11] California FTB Form 3510 instructions (2024)

[12] SEC, Oil-and-Gas Offering Fraud enforcement release (2018)

[13] SEC, “Frack Master” enforcement release (2016)

[14] Congressional Research Service, Energy Tax Provisions overview

Bring these five numbers

1. Projected 2026 federal taxable income before the investment
2. Projected federal AMTI before IDC
3. Projected California taxable income
4. Net business income/loss before oil and gas
5. Maximum cash genuinely available for total loss and capital calls

Ask for three outputs

1. Federal regular-tax, AMT, and §461(l) model
2. Separate California current and carryforward model
3. After-tax investment IRR under base, downside, and dry-hole cases

Decision gate. Proceed only if the asset clears underwriting without tax benefits, the structure has a written §469/§465 analysis, and the couple can fund both state tax and adverse capital calls.

Limitations. This report is educational and uses an illustrative cost allocation. It does not analyze a specific offering, private placement memorandum, tax return, or reserve report. Tax treatment depends on executed documents, actual liability, placed-in-service timing, elections, and final 2026 federal and California guidance. Review with a California CPA and oil-and-gas tax counsel before committing capital.